HOWDEN JOINERY PROPERTIES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

REGISTERED NUMBER: 5656171

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HOWDEN JOINERY PROPERTIES LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks to 29 December 2007 The company was incorporated on 16 December 2005, and so the comparative period covers the 54 weeks to 30 December 2006

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company is a wholly owned subsidiary of Galiform Plc and operates as part of the Galiform Plc's Trade division The Company's principal activities are owning, leasing, and managing properties on behalf of Howden Joinery Limited, a fellow Group subsidiary, for which the Company receives income from Howden Joinery Limited These properties were transferred into this Company during 2006 from another group subsidiary The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year

As shown in the Company's profit and loss account on page 5, the Company's sales are £26,968,000 and profit after tax is £585,000 The directors are satisfied with the progress of the business and do not recommend the payment of a dividend The balance sheet shows the Company's financial position at the end of the year, which the Directors consider to be satisfactory

The Galiform Plc group ("the Group") manages its operations on a divisional basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the Trade division of Galiform Plc, which includes the Company, is discussed in the Group's Annual Report which does not form part of this report

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt It therefore has no interest rate exposure The Company has no other significant risks and uncertainties, other than those risks that it shares with the Galiform Plc Group, given that the Company's principal activities are holding investments in other Galiform PLC Group companies The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

ENVIRONMENT

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the Group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were

M Ingle
C Youell
G Hughes (appointed 15 January 2007)
J McManus (appointed 15 January 2007)
K Sims (resigned 1 January 2007)

No director held any beneficial interest in the shares of the Company or any other Group company at any time during the period, with the exception of the following

HOWDEN JOINERY PROPERTIES LIMITED
DIRECTORS' REPORT (cont'd)

DIRECTORS (cont'd)

Beneficial interests of the directors, including family interests, in the share capital of the ultimate holding company, Galiform Plc, at 29 December 2007 are disclosed in the accounts of that company except those set out below

	At 29 December 2007 Ordinary shares of 10p each			At 30 December 2006 Ordinary shares of 10p each		
	Shares in issue	Share options	Awards*	Shares in issue	Share options	Awards*
C Youell	Nil	1,166,383	630,000	Nil	429,611	Nil
J McManus	431,000	920,753	491,862	428,033	1,575,614	377,125

* Conditional share awards under the Foundation Plans 2006 and 2007

The options outstanding are exercisable at prices between 42p and 158 5p

The directors also held a beneficial interest in the All Employee Share Incentive Plans in common with all members of the scheme At the year end, the scheme held 574,406 shares (2006 941,942 shares)

J McManus also held a beneficial interest in the Galiform Sharesave scheme in common with all members of the scheme At the year end, the scheme held 936,136 shares *(2006 1,940,063 shares)*

Under the terms of the Senior Managers Co-Investment Plan, C Youell had 18,108 commitment shares with Galiform Plc granting 27,612 matching shares The Senior Managers Co-investment Plan offers 1 ½ matching shares for every share held in the plan by a senior manager, conditionally vesting after three years

Under the terms of the 2007 Co-Investment Plan, C Youell invested 260,000 shares with Galiform Plc granting 1,300,000 matching shares The plan, which vests after 3 years, offers a maximum of 5 matching shares for every share invested in the plan subject to stretching PBT and TSR targets being met at the end of the three year performance period

SUPPLIER PAYMENT POLICY

It is the Company's policy, in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions Payments are actually made by another group company, Howden Joinery Limited Information regarding creditor days ratios can be found in that company's accounts

POLITICAL AND CHARITABLE CONTRIBUTIONS
The Company did not make any charitable or political donations during the period *(2006 nil)*

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the directors are aware, there is no relevant audit information of which the Company's auditors are unaware, and
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the Company's auditors are aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985

Pursuant to a shareholders' resolution, the Company is not obliged to re-appoint its auditors annually and Deloitte & Touche LLP will therefore continue in office
Pursuant to a shareholders' resolution passed during the year, the Company is not obliged to re-appoint its auditors annually and Deloitte & Touche LLP will therefore continue in office

HOWDEN JOINERY PROPERTIES LIMITED
DIRECTORS' REPORT (cont'd)

REGISTERED OFFICE

The company's registered office is International House, 66 Chiltern Street, London, W1U 4JT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

By Order of the Board

C Bishop
Secretary
15 Spetember2008

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF HOWDEN JOINERY PROPERTIES LIMITED

We have audited the financial statements of Howden Joinery Properties Limited for the 52 week period ended 29 December 2007 which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 15 These financial statements have been prepared under the accounting policies set out therein

This report is made solely to the Company's members, as a body, in accordance with section 235 of the Companies Act 1985 Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditors' report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland)

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985 We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements

In addition we report to you if, in our opinion, the Company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements It also includes an assessment of the significant estimates and judgments made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements

Opinion

In our opinion

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the Company's affairs as at 29 December 2007 and of its profit for the 52 week period then ended,
- the financial statements have been properly prepared in accordance with the Companies Act 1985, and
- the information given in the Directors' Report is consistent with the financial statements

Deloitte & Touche LLP

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London, United Kingdom

17 September 2008

HOWDEN JOINERY PROPERTIES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

	NOTES	**52 weeks to 29 Dec 2007 £000**	54 weeks to 30 Dec 2006 £000
Rental income	1	**26,968**	13,119
Cost of sales		**(25,097)**	(11,821)
Gross profit		**1,871**	1,298
Administrative expenses		**(763)**	(874)
Operating profit		**1,108**	424
Gain/(loss) on disposal of properties		**1**	(143)
Profit on ordinary activities before finance charges and taxation		**1,109**	281
Finance charges	5	**(4)**	(3)
Profit on ordinary activities before taxation	2	**1,105**	278
Tax on profit on ordinary activities	6	**(520)**	(187)
Profit for the financial period	12	**585**	91

The results for the current and prior periods derive from continuing operations

There are no recognised gains or losses in the current financial period other than those included in the profit and loss account and therefore no statement of recognised gains and losses has been presented

HOWDEN JOINERY PROPERTIES LIMITED
BALANCE SHEET AT 29 DECEMBER 2007

	NOTES	29 December 2007 £000	29 December 2007 £000	30 December 2006 £000	30 December 2006 £000
Fixed assets					
Tangible assets	7		**9,430**		6,871
Current assets					
Debtors	8	**7,151**		8,019	
Current liabilities					
Creditors amounts falling due within one year	9	**(15,559)**		(14,489)	
Net current liabilities			**(8,408)**		(6,470)
Total assets less current liabilities			**1,022**		401
Provisions for liabilities	10		**(346)**		(310)
Net assets			**676**		91
Capital and reserves					
Called up share capital	12		**0**		0
Profit and loss account	12		**676**		91
Shareholders' funds			**676**		91

Approved by the Board of Directors on 15 September 2008

Gerard Hughes
Director

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards as modified by the revaluation of certain land and buildings

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc, formerly MFI Furniture Group Plc

The financial statements include the undertakings for the 52 week period ended 29 December 2007, being the Saturday nearest to the Company's accounting reference date of 29 December The company was incorporated on 16 December 2005, and so the comparative period covers the 54 weeks ended 30 December 2006

RENTAL INCOME

Rental income comprises of income received from a licence permitting Howden Joinery Ltd to occupy properties within the ownership or leasehold of Howden Joinery Properties Ltd, and in respect of one property, the rent received under an operating lease between Howden Joinery Ltd and Howden Joinery Properties Ltd It also includes management charges received for managing the rentals

FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation and net of any provision for impairment Depreciation is charged on freehold properties (excluding land values and payments on account, and assets in the course of construction) and long leaseholds at the rate required to write off the cost or valuation of the assets over their estimated useful life of 50 to 66 years Short leaseholds are depreciated over the life of each individual lease

In addition, accelerated depreciation is provided on those properties in which trading has ceased during the period in order to reduce the value of the relevant properties to the estimated recoverable amount

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered using tax rules and laws that have been enacted or substantially enacted by the balance sheet date

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date

Except where otherwise required by accounting standards no timing differences are recognised in respect of

(a) property revaluation surpluses where there is no commitment to sell the asset, and
(b) gains on sale of assets where those assets have been rolled over into replacement assets

LEASED ASSETS

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

Profit on ordinary activities before taxation is stated after charging / (crediting)

	52 weeks to 29 Dec 2007 £000	54 weeks to 30 Dec 2006 £000
Depreciation - owned assets	**565**	239
Rentals paid on property operating leases	**24,230**	11,320
(Gain)/Loss on disposal of short leasehold properties	**(1)**	143
Fees payable to the company's auditors for the audit of the company's annual accounts	**10**	-
Tax services	**10**	-

3. STAFF NUMBERS AND COSTS (excluding directors)

The Company had no employees, and staff costs amounted to £nil

4. REMUNERATION OF DIRECTORS

No director received any emoluments from this Company during the period

5. FINANCE CHARGES

Other finance charges

	52 weeks to 29 Dec 2007 £000	54 weeks to 30 Dec 2006 £000
Interest paid on rent reviews	**4**	3
	4	3

6. TAXATION

	52 weeks to 29 Dec 2007 £000	54 weeks to 30 Dec 2006 £000
Current tax charge for the period	**493**	248
Deferred taxation (note 11) - Current year	**(21)**	(61)
- Adjustments relating to prior year	**48**	-
Tax charge on profit on ordinary activities	**520**	187

Factors affecting current period corporation tax

	52 weeks to 29 Dec 2007	54 weeks to 30 Dec 2006
The taxation charge, as a percentage of profit on operating activities before taxation, is calculated at	**47 0%**	67 5%

There is no unprovided deferred tax

6. TAXATION (Cont'd)

The current corporation tax charge for the period is higher than the standard rate of corporation tax of 30% for the following reasons

	52 weeks to 29 Dec 2007 £000	54 weeks to 30 Dec 2006 £000
Profit on ordinary activities before taxation for the period	**1,105**	278
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 30%	**332**	83
Effects of		
Depreciation in excess of capital allowances	**161**	61
Movement on short term timings	-	61
Profit on disposal of non-qualifying fixed assets	-	43
Current tax charge for the period	**493**	248

Factors that may affect future tax charges
It is expected that the effective future rate of corporation tax will increase due to a decrease in disposals of fixed assets and the volatility of deferred tax

7. TANGIBLE FIXED ASSETS

	Land & Freehold Properties £000	Leasehold properties: Over 50 Years £000	Leasehold properties: Under 50 Years £000	Assets Under Construction £000	Total £000
Cost or valuation					
At 30 December 2006	926	83	6,724	-	7,733
Additions	-	-	3,202	4	3,206
Disposals	-	-	(85)	-	(85)
At 29 December 2007	**926**	**83**	**9,841**	**4**	**10,854**
Depreciation					
At 30 December 2006	(130)	(1)	(730)	-	(861)
Charge for the year	(9)	(2)	(555)	-	(566)
Disposals	-	-	3	-	3
At 29 December 2007	**(139)**	**(3)**	**(1,282)**	**-**	**(1,424)**
Net book value					
At 30 December 2006	796	82	5,993	-	6,871
At 29 December 2007	**787**	**80**	**8,559**	**4**	**9,430**

Land & Freehold properties at cost includes land of £514,000 on which depreciation is not provided

8 DEBTORS

Amounts falling due within one year	29 Dec 2007 £000	30 Dec 2006 £000
Trade debtors	**48**	27
Amounts owed by parent and fellow subsidiary undertakings	**-**	1,935
Prepayments and accrued income	**5,547**	4,834
VAT	**1,556**	1,223
	7,151	8,019

9. CREDITORS

Amounts falling due within one year	29 Dec 2007 £000	30 Dec 2006 £000
Trade creditors	**47**	64
Amounts owed to parent and fellow subsidiary undertakings	**12,199**	12,524
Corporation tax	**741**	248
Accruals and deferred income	**2,572**	1,653
	15,559	14,489

10 PROVISIONS FOR LIABILITIES

Movements during the period were as follows

	Deferred Taxation £000	Property provision £000	Total £000
At 30 December 2006	106	204	310
Provided	27	9	36
Utilised	-	-	-
At 29 December 2007	**133**	**213**	**346**

11 DEFERRED TAXATION

An analysis of the deferred tax liability provided in the accounts is as follows

	29 Dec 2007 £000	30 Dec 2006 £000
Accelerated capital allowances	**193**	167
Other timing differences	**(60)**	(61)
	133	106

There is no unprovided deferred tax

12 SHARE CAPITAL & RESERVES

i) Share capital

	29 Dec 2007 £	30 Dec 2006 £
100 authorised ordinary shares of £1 each	**100**	100
1 allotted, called up and fully paid ordinary share of £1	**1**	1

12 SHARE CAPITAL & RESERVES (cont'd)

ii) Movements in share capital and reserves

Movements in share capital and reserves during the period were as follows

	Share Capital Account £000	Profit and loss Account £000	Shareholders' Funds £000
At 30 December 2006	-	91	91
Profit for the period	-	585	585
At 29 December 2007	-	676	676

13. FINANCIAL COMMITMENTS

At 29 December 2007 the annual commitments under non-cancellable operating leases for land and buildings were as set out below

	29 Dec 2007 £000	30 Dec 2006 £000
Operating leases which expire		
Within one year	756	529
Between two and five years	4,886	4,617
After five years	19,287	15,281
	24,929	20,427

There were no such commitments for other assets

14. CONTINGENT LIABILITIES

The Group has guaranteed a US$ 10m (2006 US$ 10 0m) letter of credit facility from Standard Chartered Bank in favour of Howden Kitchens (Asia) Limited's suppliers This contingency would only trigger in the event that MFI Asia Limited fails to honour its obligations under the terms of the facility

Members of the Group have assigned UK property leases in the normal course of business Should the assignees fail to fulfil any obligations in respect of these leases, members of the Group will be liable for those defaults The number of claims arising to date has been small and the cost, which is charged to income as it arises, has not been material

There is a Group VAT registration cross-guarantee under which if one Group company fails to pay its VAT then the other Group companies are jointly and severally liable The amount outstanding on this guarantee at the period end is £11 3m (2006 £19 0m)

The Company, together with other Group companies, has guaranteed the Group's obligations under the Group bank facility

15. ULTIMATE PARENT COMPANY AND RELATED PARTY DISCLOSURES

The Company's immediate parent company is Howden Joinery Limited and the ultimate parent company and controlling entity is Galiform Plc, formerly MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest Group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions within the Group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary